

TATA STEEL LIMITED

Audited Financial Statements — FY 2022-23

Condensed Report for AI Processing

Company	Tata Steel Limited
CIN	L27100MH1907PLC000260
Registered Office	Bombay House, 24 Homi Modi St, Fort, Mumbai 400001
Stock Exchange	BSE Limited & NSE of India Limited
Fiscal Year	April 1, 2022 – March 31, 2023
Reporting Currency	Indian Rupees (₹ crore)
Auditors	Price Waterhouse & Co. LLP
Document Type	Standalone & Consolidated Financial Statements

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Financial Highlights

(₹ crore unless otherwise stated)

Metric	Standalone FY23	Standalone FY22	Group FY23	Group FY22
Revenue from Operations	1,29,006.62	1,29,021.35	2,43,352.69	2,43,959.17
Profit/(Loss) Before Tax	21,021.92	44,090.65	18,235.12	50,226.87
Profit/(Loss) After Tax	15,495.11	33,011.18	8,075.35	41,749.32
Dividend	6,233.11	3,007.08	6,227.15	3,004.16
Retained Earnings	85,970.98	76,498.67	48,166.32	55,647.79
Capital Employed	1,85,854.05	1,70,045.84	2,04,183.90	2,04,985.59
Net Worth	1,34,797.51	1,25,433.76	1,05,175.21	1,17,098.46
Borrowings	42,372.39	36,524.51	84,893.05	75,561.35
Net Debt to Equity (ratio)	0.30	0.30	0.61	0.52
Net Worth per Share (₹)	110.29	102.72	86.14	96.92
Basic EPS (₹)	12.68	27.03	7.17	33.24
Diluted EPS (₹)	12.67	27.01	7.17	33.21
Dividend per Ordinary Share (₹)	3.60	51.00*	3.60	51.00*
Employees (numbers)	36,151	35,927	75,263	72,551

* Dividend declared on face value of ₹10 each.

Financial Ratios

Ratio	Standalone FY23	Standalone FY22	Group FY23	Group FY22
EBITDA / Turnover	21.84%	39.88%	13.44%	26.16%
PBET / Turnover	16.90%	34.36%	7.45%	20.64%
Return on Avg. Capital Employed	12.78%	29.59%	11.62%	29.13%
Return on Avg. Net Worth	11.91%	29.93%	7.27%	42.91%
Asset Turnover	68.77%	72.30%	87.05%	89.99%
Inventory Turnover (days)	59	47	79	62
Debtors Turnover (days)	9	9	15	16
Gross Block to Net Block	1.35	1.31	1.57	1.58
Net Debt to Equity	0.30	0.30	0.61	0.52
Current Ratio	0.86	0.62	1.01	1.07
Interest Service Coverage Ratio	10.40	22.84	6.01	12.82
P/E Ratio	8.24	4.84	14.57	3.93
Dividend Payout	28%	19%	54%	15%

Standalone Balance Sheet

as at March 31, 2023 | (■ crore)

ASSETS	Mar 31, 2023	Mar 31, 2022
NON-CURRENT ASSETS		
Property, Plant & Equipment	84,942.31	87,946.22
Capital Work-in-Progress	21,091.92	14,159.32
Right-of-Use Assets	5,480.11	5,538.18
Other Intangible Assets	760.65	806.03
Investments (Non-current)	44,138.90	43,401.43
Loans (Non-current)	32,779.08	30,195.27
Other Financial Assets (Non-current)	2,263.36	1,211.81
Non-current Tax Assets (net)	4,145.27	3,620.76
Other Non-current Assets	3,318.72	3,301.78
Total Non-current Assets	1,99,841.90	1,90,696.65
CURRENT ASSETS		
Inventories	20,795.56	19,942.94
Investments (Current)	2,050.40	96.11
Trade Receivables	3,351.72	3,280.30
Cash and Cash Equivalents	858.98	2,671.59
Other Current Assets	4,820.39	4,266.82
Total Current Assets	31,876.25	30,257.76
TOTAL ASSETS	2,31,718.15	2,20,954.41
EQUITY AND LIABILITIES		
Equity Share Capital	1,222.40	1,222.37
Other Equity	1,33,575.11	1,24,211.39
Total Equity	1,34,797.51	1,25,433.76
NON-CURRENT LIABILITIES		
Borrowings (Non-current)	39,010.79	33,000.97
Lease Liabilities (Non-current)	4,562.45	4,661.34
Deferred Tax Liabilities (net)	10,381.31	9,780.41
Other Non-current Liabilities	3,393.12	3,176.05
Total Non-current Liabilities	57,347.67	50,618.77
CURRENT LIABILITIES		
Borrowings (Current)	3,361.60	3,523.54
Trade Payables	16,083.51	17,091.27
Other Current Liabilities	20,127.86	24,287.07
Total Current Liabilities	39,572.97	44,901.88
TOTAL EQUITY AND LIABILITIES	2,31,718.15	2,20,954.41

Standalone Statement of Profit and Loss

for the year ended March 31, 2023 | (₹ crore)

INCOME	FY 2022-23	FY 2021-22
Revenue from Operations	1,29,006.62	1,29,021.35
Other Income	3,325.48	1,452.02
Total Income	1,32,332.10	1,30,473.37
EXPENSES		
Cost of Materials Consumed	54,011.50	35,256.98
Purchases of Stock-in-Trade	7,467.30	4,089.03
Changes in Inventories	(1,142.06)	(1,820.87)
Employee Benefits Expense	6,616.29	6,365.80
Finance Costs	3,792.14	2,792.08
Depreciation & Amortisation	5,434.61	5,463.69
Other Expenses	38,870.96	36,458.65
Less: Capitalized Expenditure	(4,519.34)	(2,458.09)
Total Expenses	1,10,531.40	86,147.27
Profit Before Exceptional Items & Tax	21,800.70	44,326.10
Exceptional Items (net)	(778.78)	(235.45)
Profit Before Tax	21,021.92	44,090.65
Current Tax	4,924.68	10,469.59
Deferred Tax	602.13	609.88
Profit After Tax	15,495.11	33,011.18
OTHER COMPREHENSIVE INCOME		
Items not reclassified to P&L (net)	60.24	699.61
Items to be reclassified to P&L (net)	(93.89)	203.20
Total Other Comprehensive Income	(33.65)	902.81
Total Comprehensive Income	15,461.46	33,913.99
EARNINGS PER SHARE (₹)		
Basic EPS	12.68	27.03
Diluted EPS	12.67	27.01

Standalone Statement of Cash Flows

for the year ended March 31, 2023 | (₹ crore)

CASH FLOW STATEMENT	FY 2022-23	FY 2021-22
A. OPERATING ACTIVITIES		
Profit Before Tax	21,021.92	44,090.65
Depreciation & Amortisation	5,434.61	5,463.69
Finance Costs	3,792.14	2,792.08
Interest & Dividend Income	(3,138.24)	(1,369.49)
Foreign Exchange (Gain)/Loss	(2,542.96)	(851.60)
Other Non-cash Adjustments	(828.69)	181.37
Changes in Working Capital	(6,246.53)	2,919.65
Cash Generated from Operations	19,118.25	53,226.35
Income Taxes Paid (net)	(4,891.32)	(11,240.23)
Net Cash from Operating Activities	14,226.93	41,986.12
B. INVESTING ACTIVITIES		
Purchase of Capital Assets	(8,554.58)	(6,288.29)
Sale of Capital Assets	19.08	132.61
Purchase of Investments in Subsidiaries	(1,245.77)	(12,897.00)
Other Investments (net)	2,141.13	(19,601.04)
Interest/Dividend Received	3,203.75	1,369.49
Net Cash from Investing Activities	(4,436.39)	(37,284.23)
C. FINANCING ACTIVITIES		
Proceeds from Equity Issue (net)	1.37	325.72
Long-term Borrowings (net)	13,724.25	(9,343.84)
Short-term Borrowings (net)	(8,106.56)	8,794.21
Payment of Lease Obligations	(495.00)	(483.03)
Interest Paid	(3,856.03)	(2,868.17)
Dividend Paid	(6,233.11)	(3,007.08)
Net Cash from Financing Activities	(4,978.93)	(7,368.05)
NET INCREASE/(DECREASE) IN CASH	(1,812.61)	450.28
Opening Cash & Cash Equivalents	2,671.59	2,221.31
Closing Cash & Cash Equivalents	858.98	2,671.59

Standalone Statement of Changes in Equity

for the year ended March 31, 2023 | (₹ crore)

ITEM	Retained Earnings	Other Reserves	OCI Items	Total Other Equity	Total Equity
Balance at April 1, 2022	76,498.67	46,797.82	914.90	1,24,211.39	1,25,433.76
Profit for the year	15,495.11	—	—	15,495.11	15,495.11
Other Comprehensive Income	—	—	(33.65)	(33.65)	(33.65)
Total Comprehensive Income	15,495.11	—	(33.65)	15,461.46	15,461.46
Dividends Paid	(6,233.11)	—	—	(6,233.11)	(6,233.11)
Transfers between Reserves	188.31	(188.31)	—	—	—
Shares Issued / Other	21.00	115.68	0.03	136.71	137.14
Balance at March 31, 2023	85,970.98	46,725.19	881.25	1,33,577.42	1,34,797.51
PRIOR YEAR COMPARATIVES					
Balance at April 1, 2021	46,480.00	46,473.69	235.66	93,189.35	94,963.13
Profit for the year	33,011.18	—	—	33,011.18	33,011.18
Other Comprehensive Income	—	—	902.81	902.81	902.81
Total Comprehensive Income	33,011.18	—	902.81	33,913.99	33,913.99
Dividends Paid	(3,007.08)	—	—	(3,007.08)	(3,007.08)
Hybrid Perpetual Securities	—	(775.00)	—	(775.00)	—
Shares Issued / Other	14.57	1,099.13	(223.57)	890.13	1,565.64
Balance at March 31, 2022	76,498.67	46,797.82	914.90	1,24,211.39	1,25,433.76

Consolidated Balance Sheet

as at March 31, 2023 | (■ crore)

ASSETS	Mar 31, 2023	Mar 31, 2022
NON-CURRENT ASSETS		
Property, Plant & Equipment	1,18,696.74	1,16,166.46
Capital Work-in-Progress	30,307.90	21,227.62
Right-of-Use Assets	9,222.52	8,337.70
Goodwill	5,601.65	4,311.20
Other Intangible Assets	13,100.55	4,472.47
Equity Accounted Investments	3,233.33	2,961.65
Other Financial Assets (NC)	2,524.94	2,487.01
Retirement Benefit Assets	6,990.83	20,397.96
Deferred Tax Assets	2,625.96	3,023.93
Other Non-current Assets	9,052.64	11,700.48
Total Non-current Assets	2,01,356.20	1,92,888.99
CURRENT ASSETS		
Inventories	36,291.35	32,773.70
Trade Receivables	13,617.26	14,543.85
Cash and Cash Equivalents	8,628.25	9,408.15
Other Current Assets	19,126.34	18,073.28
Total Current Assets	77,663.20	74,799.00
TOTAL ASSETS	2,79,019.40	2,67,687.99
EQUITY AND LIABILITIES		
Equity Share Capital	1,221.24	1,221.21
Other Equity (attributable to owners)	1,01,860.86	1,13,221.83
Non-controlling Interests	2,093.11	2,655.42
Total Equity	1,05,175.21	1,17,098.46
NON-CURRENT LIABILITIES		
Borrowings (Non-current)	51,446.33	44,764.07
Lease Liabilities (Non-current)	5,811.08	5,696.46
Deferred Tax Liabilities	14,115.64	12,325.78
Retirement Benefit Obligations	2,931.37	3,413.71
Other Non-current Liabilities	6,779.22	5,952.71
Total Non-current Liabilities	81,083.64	72,152.73
CURRENT LIABILITIES		
Borrowings (Current)	33,446.72	30,797.28
Trade Payables	24,812.15	24,021.53
Other Current Liabilities	34,501.68	23,617.99
Total Current Liabilities	92,760.55	78,436.80
TOTAL EQUITY AND LIABILITIES	2,79,019.40	2,67,687.99

Consolidated Statement of Profit and Loss

for the year ended March 31, 2023 | (₹ crore)

INCOME	FY 2022-23	FY 2021-22
Revenue from Operations	2,43,352.69	2,43,959.17
Other Income	1,037.48	784.89
Total Income	2,44,390.17	2,44,744.06
EXPENSES		
Cost of Materials Consumed	1,01,483.08	75,763.70
Purchases of Stock-in-Trade	15,114.11	15,312.91
Changes in Inventories	(3,358.89)	(7,597.87)
Employee Benefits Expense	22,419.32	23,264.10
Finance Costs	6,298.70	5,462.20
Depreciation & Amortisation	9,335.20	9,100.87
Other Expenses	80,518.87	76,616.28
Less: Capitalized Expenditure	(5,123.96)	(2,889.90)
Total Expenses	2,26,686.43	1,95,032.29
Share of Profit of JVs & Associates	418.12	649.16
Profit Before Exceptional Items & Tax	18,121.86	50,360.93
Exceptional Items (net)	113.26	(134.06)
Profit Before Tax	18,235.12	50,226.87
Current Tax	7,785.43	8,476.83
Deferred Tax	2,374.34	0.72
Profit After Tax	8,075.35	41,749.32
Attributable to Owners of Company	7,020.58	40,153.93
Attributable to Non-controlling Interests	1,054.77	1,595.39
OTHER COMPREHENSIVE INCOME		
Items not reclassified to P&L	(10,176.09)	967.93
Items to be reclassified to P&L	(4,175.40)	531.30
Total OCI	(14,351.49)	1,499.23
Total Comprehensive Income	(6,276.14)	43,248.55
EARNINGS PER SHARE (₹)		
Basic EPS	7.17	33.24
Diluted EPS	7.17	33.21

Consolidated Statement of Cash Flows

for the year ended March 31, 2023 | (₹ crore)

CASH FLOW STATEMENT	FY 2022-23	FY 2021-22
A. OPERATING ACTIVITIES		
Profit Before Tax	18,235.12	50,226.87
Depreciation & Amortisation	9,335.20	9,100.87
Finance Costs	6,298.70	5,462.20
Interest Income & Current Investment Income	(640.12)	(445.26)
Foreign Exchange (Gain)/Loss	(1,793.96)	1,579.15
Share of Profit of JVs and Associates	(418.12)	(649.16)
Other Non-cash Adjustments	(288.71)	2,625.97
Changes in Working Capital	(3,636.46)	1,777.42
Cash Generated from Operations	27,091.65	69,678.06
Income Taxes Paid (net)	(8,264.93)	(14,393.82)
Net Cash from Operating Activities	18,826.72	55,284.24
B. INVESTING ACTIVITIES		
Purchase of Capital Assets	(20,126.01)	(15,010.44)
Sale of Capital Assets	80.21	247.64
Investments (net)	(1,013.60)	(4,186.77)
Interest/Dividend Received	693.54	445.26
Other Investing Activities	(1,284.79)	(1,025.07)
Net Cash from Investing Activities	(21,650.65)	(19,529.38)
C. FINANCING ACTIVITIES		
Proceeds from Equity Issue (net)	1.37	325.74
Long-term Borrowings (net)	12,162.97	(25,452.94)
Short-term Borrowings (net)	(5,620.41)	11,532.27
Payment of Lease Obligations	(1,114.43)	(1,310.07)
Interest Paid	(6,119.72)	(4,686.67)
Dividend Paid	(6,292.63)	(3,020.12)
Net Cash from Financing Activities	(6,980.69)	(23,401.09)
Foreign Exchange Effect on Cash	1,024.72	(313.91)
NET INCREASE/(DECREASE) IN CASH	(8,779.90)	12,039.86
Opening Cash & Cash Equivalents	9,408.15	(2,631.71)
Closing Cash & Cash Equivalents	8,628.25	9,408.15

Consolidated Statement of Changes in Equity

for the year ended March 31, 2023 | (■ crore)

ITEM	Retained Earnings	Consol. Reserves	OCI Items	Equity to Owners	NCI	Total Equity
Balance Apr 1, 2022	55,647.79	48,462.99	9,111.05	1,13,221.83	2,655.42	1,15,877.25
Profit for the year	7,020.58	—	—	7,020.58	1,054.77	8,075.35
Other Comprehensive Income	—	—	(14,351.49)	(13,440.50)	(910.99)	(14,351.49)
Total Comprehensive Income	7,020.58	—	(14,351.49)	(6,419.92)	143.78	(6,276.14)
Dividends Paid	(6,227.15)	—	—	(6,227.15)	(65.00)	(6,292.15)
Shares Issued / Other Movements	5,725.56	251.32	89.25	6,065.13	(641.09)	5,424.04
Transfers and Other Adjustments	(0.78)	(0.22)	—	(1.00)	—	(1.00)
Balance Mar 31, 2023	62,166.00	48,714.09	(5,151.19)	1,05,728.90	2,093.11	1,07,822.01
PRIOR YEAR COMPARATIVES						
Balance Apr 1, 2021	16,476.70	47,612.72	8,172.96	72,262.38	3,269.68	75,532.06
Profit for the year	40,153.93	—	—	40,153.93	1,595.39	41,749.32
Other Comprehensive Income	—	—	1,314.47	1,314.47	(9.05)	1,305.42
Total Comprehensive Income	40,153.93	—	1,314.47	41,468.40	1,586.34	43,054.74
Dividends Paid	(3,000.22)	—	—	(3,000.22)	(19.90)	(3,020.12)
Hybrid Securities Redeemed	—	(775.00)	—	(775.00)	—	(775.00)
Shares Issued / Other Movements	2,017.38	1,625.27	(376.38)	3,266.27	(2,180.70)	1,085.57
Balance Mar 31, 2022	55,647.79	48,462.99	9,111.05	1,13,221.83	2,655.42	1,15,877.25

Note: This is a condensed summary extracted from the 273-page Audited Standalone and Consolidated Financial Statements of Tata Steel Limited for FY 2022-23. Figures have been rounded. NCI = Non-Controlling Interests. OCI = Other Comprehensive Income. All figures in ■ crore unless stated otherwise.